

2030

the year by which
one in six people
will be aged 60+

AGING POPULATION

The population is aging in most countries. According to global averages, a child born in 1960 could have expected to live for 52 years. But if that child were born today, he or she could expect to live to the age of 69. By the middle of the century, average lifespan is likely to be higher still: well over 70. An aging population has dramatic consequences for state pensions, as current workers' contributions are not invested by the state to pay for future pensions but are instead used to simply pay the pension benefits of current pensioners. As the number of pensioners increases, the shortfall between tax income and pension payouts will increase.

4. Stock market crash

Investments losing value over the long term or in a crash can mean that the value of a pension fund will also fall.

2. Pension fund management

Poor decisions by the pension fund managers can lead to low returns, as with any investment.

Pension pathway